CSIS KOREA CHAIR

Korea Daily Brief

Saturday, October 17, 2026

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KOSPI	USD/KRW	BRENT	BOK RATE
5,668.05	1,329.60	$109.86	2.50%
▲ +2.0%	▼ -0.8%	▲ +3.7%	Oct 2026

TODAY AT A GLANCE

1. North Korea announced the underwater test of the 'Zam-2.0' AI-equipped torpedo on Thursday — the sixth DPRK weapons event in October and the first AI-designated naval munition claimed by Pyongyang, confirmed by KCNA on Saturday.
2. Japan PM Takaichi sent a ritual offering to Yasukuni Shrine, forgoing a personal visit; Seoul expressed 'deep disappointment and regret,' while Takaichi separately told the Diet she will uphold the 1995 Murayama Declaration despite past criticism of it.
3. Belarus opened its embassy in Pyongyang this month — nearly three months behind the planned August 1 launch — marking the first permanent Belarusian diplomatic mission in the DPRK and expanding the Russia-aligned diplomatic footprint around Kim Jong Un.

TOP STORIES

DPRK

North Korea tests 'Zam-2.0' AI-equipped torpedo — sixth weapons event in October

KCNA reported Saturday that North Korea conducted an underwater test of the 'Zam-2.0' torpedo on Thursday, describing it as a high-speed precision-guided munition equipped with artificial intelligence and hailing it as a major naval breakthrough — the first DPRK weapon publicly designated with AI targeting capability. The test is the sixth DPRK weapons event in October and follows the Oct 15-16 submarine-launched cruise missile test confirmed earlier this week, extending a sustained testing surge that began in early October. No images were released by KCNA, and no DPRK official, including Kim Jong Un, has been publicly associated with the torpedo test as of Saturday morning.

NK News · KCNA (Oct 17, 2026)

JAPAN-KOREA

Seoul expresses 'deep disappointment' as Japan PM Takaichi sends Yasukuni offering, forgoing visit

South Korea's government expressed 'deep disappointment and regret' Saturday after Japan PM **Takaichi Sanae** sent a ritual offering (masakaki) to Yasukuni Shrine, opting against a personal visit. Separately, Takaichi told the Diet's budget committee she will uphold the 1995 Murayama Declaration — a reversal from her earlier on-record criticism of the statement — saying 'the position of past cabinets will remain unchanged' and that 'the Murayama Declaration is of course included.' The dual signal — shrine offering paired with Murayama reaffirmation — tracks the pattern of LDP leaders managing domestic nationalist constituencies while seeking to limit diplomatic fallout with Seoul.

Yonhap English · SBS Korea (Oct 17, 2026)

NK-RUSSIA-CHINA

Belarus opens Pyongyang embassy — first permanent mission, nearly three months behind schedule

Belarus's foreign ministry announced late Friday it opened its embassy in North Korea this month, along with a simultaneous mission in Myanmar — framing both openings as part of a deliberate policy to strengthen presence among what Minsk termed countries on 'the axis of distant diplomacy.' The ministry did not disclose the opening date, location, or name of its ambassador to the DPRK; North Korean state media had not reported the opening as of Saturday. The announcement follows Belarus FM **Maxim Ryzhenkov**'s August visit to Pyongyang, where he met Foreign Minister Choe Son Hui and discussed mutual visa-free arrangements, and a September sideline meeting at the UN General Assembly between Ryzhenkov and DPRK Vice FM Kim Son Gyong on the embassy question.

NK News (Oct 17, 2026)

US-KOREA

DP lawmakers demand USFK commander retract 'South Korea begins at the southern fence' remark

Democratic Party National Assembly Defense Committee members called Saturday for USFK Commander Gen. **Xavier Brunson** to withdraw and apologize for a statement — reportedly made at an Oct 14 Washington seminar hosted by a strategic studies institute — that 'the Republic of Korea starts at the southern fence,' which DP members said constitutes a denial of ROK sovereignty over the DMZ and areas north of it. Rep. Kim Byung-joo, the DP's defense committee whip, posted that the armistice grants UNC authority only over DMZ access and civil administration, not over ROK territorial sovereignty, and called the statement a 'line-crossing remark.' Assembly Defense Committee chairman Rep. Jin Seong-jun had flagged the same remarks the previous day, saying the statement 'cannot help but raise serious misunderstandings about the areas where ROK sovereignty applies.'

뉴시스 (Oct 17, 2026)

OVERNIGHT

NK-RUSSIA-CHINA

North Korea draws closer to China and Russia with back-to-back new bridges — FT · Financial Times

FT frames dual bridge openings as deliberate parallel hedging toward Beijing and Moscow.

US-KOREA

Trump touts Hyundai's $560M Georgia investment pledge at campaign rally · Yonhap English

Trump cited the commitment at a Friday campaign event; no new binding agreement was announced.

US-KOREA

US senator praises Hanwha's role in revitalizing American shipbuilding industry · Yonhap English

Senator highlighted Hanwha Ocean's Philly Shipyard investment at a Washington event Friday.

NK-RUSSIA-CHINA

North Korea's pact with Russia built to outlast Ukraine war — Nikkei analysis · Nikkei Korea

Nikkei argues the NK-Russia treaty framework is designed as a long-term structural realignment, not a wartime expedient.

US-KOREA

US Ambassador to South Korea highlights Korean investment's role in creating American jobs · Yonhap English

Ambassador Michelle Steel made the remarks at a Washington forum attended by US and Korean business leaders Friday.

BUSINESS

US Commerce publishes preliminary antidumping review on thermal paper from South Korea (2024-2025) · Federal Register

Federal Register notice covers partial rescission; Korean exporters face potential duty adjustment.

STAT OF THE DAY

Zam-2.0

Designation of DPRK's first publicly named AI-equipped torpedo

KCNA named the new precision-guided torpedo 'Zam-2.0' in its Oct 17 report — the first DPRK weapon publicly designated with AI targeting capability, tested underwater on Thursday against an unspecified target.

NK News / KCNA (Oct 17, 2026)

PYONGYANG WATCH · KCNA

KIM JONG UN WATCH FLAG

No appearance (4d since last)

TOP KCNA ARTICLES

1. **North Korea tests new AI-equipped torpedo, KCNA says**
   KCNA confirmed Saturday that North Korea conducted an underwater test of the 'Zam-2.0' high-speed precision-guided torpedo on Thursday, describing it as equipped with artificial intelligence and calling it a major naval breakthrough — no images released. — KCNA (Reuters)
2. **North Korea missile chief questions South Korea hypersonic glide vehicle test**
   A named DPRK missile official — identified as the missile sector chief — publicly accused South Korea of fabricating its hypersonic glide vehicle test, justifying North Korea's own arms buildup and challenging Seoul's deterrence claims. — KCNA (Reuters)
3. **North Korea says opening ceremony was held for new bridge to China**

KCNA confirmed a ceremony was held for the opening of the New Yalu River Bridge connecting Sinuiju with Dandong, China, over a decade after construction was completed — the first official DPRK acknowledgment of the bridge's operational status. — KCNA (Reuters)

SENIOR OFFICIALS

DPRK missile sector chief (unnamed) · **Missile sector chief**
Publicly accused South Korea of fabricating its recent hypersonic glide vehicle test and used the claim to justify North Korea's continued arms buildup, in a statement carried by NK News and Reuters.

> **Bottom line:** KCNA's confirmation of the 'Zam-2.0' AI-equipped torpedo test — the sixth DPRK weapons event in October — extends the testing surge without a Kim Jong Un public appearance for the fourth consecutive day; watch for Kim's next confirmed appearance and for any KCNA framing of Trump's repeated signals about a potential Kim meeting.

ROK GOVERNMENT

President + Ministries · Saturday, October 17, 2026

청와대 · BLUE HOUSE / PRESIDENT'S OFFICE

Lee visits funeral home of firefighter Kim Jin-seok killed in Bucheon factory fire, posthumously awards Okjo Geunjeong Medal

President Lee Jae-myung

President **Lee Jae-myung** visited the funeral hall at Suncheonhyang University Bucheon Hospital at 6:14 pm Saturday to pay respects to firefighter Kim Jin-seok (44), who died at 12:55 am Saturday after sustaining a cardiac arrest at an Oct 16 factory fire in Bucheon's Ojeong district. Lee knelt to offer incense, recorded a message in the condolence book, and posthumously awarded Kim the Okjo Geunjeong Medal — a national service decoration for public officials. Presidential office staff confirmed Lee spoke at length with Kim's wife and was visibly affected upon learning Kim had a seven-year-old daughter.

Primary 매일경제 ↗

외교부 · MINISTRY OF FOREIGN AFFAIRS

MOFA expresses 'deep disappointment and regret' over Japan PM Takaichi's Yasukuni offering

ROK government spokesperson

The South Korean government issued a formal statement Saturday expressing 'deep disappointment and regret' over Japan PM Takaichi's ritual offering to Yasukuni Shrine, calling on Tokyo to reflect on history with humility. The statement tracks Seoul's standard diplomatic formula for Yasukuni incidents — stopping short of a formal protest or ambassador summons.

Primary Yonhap EN ↗

국회 국방위원회 · NATIONAL ASSEMBLY — DEFENSE COMMITTEE

DP defense committee whip demands USFK commander retract and apologize for 'southern fence' remark on ROK sovereignty

Rep. Kim Byung-joo (DP)

National Assembly Defense Committee DP whip **Kim Byung-joo** posted Saturday that USFK Commander Gen. Brunson's reported statement that 'the Republic of Korea starts at the southern fence' constitutes a direct denial of ROK territorial sovereignty and must be immediately retracted and followed by an apology. Defense Committee Chair Rep. Jin Seong-jun had issued a similar statement the previous day, amplifying political pressure on USFK and the ROK Ministry of National Defense to respond.

Primary 뉴시스 ↗

NATIONAL ASSEMBLY

> **DP members call on USFK commander to retract 'southern fence' sovereignty remark**
> National Assembly Defense Committee
> Both the Defense Committee chair and DP defense whip issued statements Saturday demanding USFK Commander Brunson retract remarks made at an Oct 14 Washington seminar and apologize to the Korean people; the episode follows the ongoing OPCON transfer debate.

• US-KOREA TRADE & INVESTMENT

Steel and aluminium remain at 50% and autos at 15%, both under Section 232. The Section 122 surcharge expired July 24, leaving no baseline reciprocal tariff in force. Section 301 is now the primary prospective vehicle for any new broad-based measure against Korean goods.

TARIFFS

EXPIRED

Section 122 surcharge lapsed Jul 24; Section 301 now primary tariff vehicle; sector 232 rates still in force.

WATCH THIS DATE
next trigger: Section 301 determination — pending, no fixed date

SECTOR RATES

Steel & Aluminum	SECTION 232	**50%**
Copper	SECTION 232	**50%**
Automobiles & Auto Parts	SECTION 232	**15%**
Timber / Lumber / Wood Derivatives	SECTION 232	**15%**
Semiconductors (advanced logic)	SECTION 232 (PROCLAMATION 11002)	**25%**
Pharmaceuticals	SECTION 232	**up to 15%**
Civil Aircraft & Parts	US-KOREA DEAL EXEMPTION	**0%**

Generic Pharma / Precursors / Rare Natural Resources	ALIGNED PARTNERS LIST	0%

INVESTMENT · $350B PLEDGE

$350B pledged · 1 project selected so far, led by Encinal gas-fired power plant, Texas ($22.3B)

NEW THIS WEEK

Trump touts Hyundai's $560M Georgia investment pledge at campaign rally `$560M` `New deal`

President Trump highlighted a reported $560M Hyundai investment in Georgia at a campaign rally Friday; no new binding corporate announcement was released.

HYUNDAI MOTOR GROUP — US (GEORGIA) · YONHAP ENGLISH

FULL TRADE REFERENCE →

All $350B pledge projects, the investment ledger and standing policy measures.

BUSINESS & ECONOMY

TECH · 한국경제

Chinese chipmakers closing fast on Samsung and SK Hynix as demand outstrips supply

Hankyung reports Chinese memory producers are capturing overflow orders that Korean firms cannot immediately fulfill, with BIS annual licenses capping Samsung and SK Hynix China fab output. The report underscores the competitive pressure building on Korean chipmakers as Chinese domestic semiconductor investment accelerates under state support.

Samsung Electronics · SK Hynix

FINANCE · 동아일보

BOK Governor Shin Hyun-song calls full liberalization of Korea's payment system 'the right moment'

Shin Hyun-song, Bank of Korea Governor, told the G30 International Banking Seminar in Bangkok on Saturday that the BOK is piloting 'BOK International Wire' — allowing non-Korean banks to hold won accounts and send won-denominated remittances globally without maintaining a Korean bank account — and called now 'the right moment' for full liberalization of the payments system and financial markets. Shin said the pilot has just started and full launch is expected by January, a move that would expand the won's international role and align with Seoul's broader effort to reduce dollar dependency in trade settlement.

Bank of Korea

FINANCE · 매일경제

KOSPI investors face dual squeeze: loan interest costs rise even as market partially recovers

Maeil Kyungjae reports that retail investors who borrowed to buy equities face a double bind — the KOSPI fell *20.7% across seven trading days* before Friday's partial rebound, while variable-rate mortgage products at major banks (Kookmin, Woori, Nonghyup) rose up to 0.25 percentage points, adding roughly 1 million won

annually to a 400 million won loan balance. The squeeze reflects a structural vulnerability in leveraged retail equity participation that regulators have previously flagged as a systemic risk indicator.

NORTHEAST ASIA WATCH

JAPAN-KOREA · JAPAN-DIPLOMATIC · 뉴시스

Japan PM Takaichi confirms she will uphold Murayama Declaration despite past criticism

Takaichi told the Diet's upper house budget committee that 'the position of past cabinets will remain unchanged' and that the 1995 Murayama Declaration 'is of course included' — a significant rhetorical shift from her 2005 and 2013 on-record criticisms of the statement. When asked whether her views had changed, Takaichi said 'I am growing every day' and referenced the Abe 70th-anniversary declaration's principle that future generations should not bear responsibility for the past.

RUSSIA-KOREA · RUSSIA-SANCTIONS · 한겨레

Trump cancels additional Russia sanctions as oil prices surge — Korean press flags 'yielding to Putin' charge

Hankyoreh reports that Trump cancelled a planned additional Russia sanctions package Friday, citing surging oil prices — with Brent up *3.72%* to $109.86 — and domestic political opposition accusing him of again accommodating Moscow. The cancellation is relevant to Seoul's Russia sanctions enforcement posture and to the question of whether US leverage over Russia is being preserved or eroded ahead of any Ukraine settlement talks.

PUBLIC SENTIMENT

PRESIDENTIAL APPROVAL

39%

▲ +2 pts vs Oct 6-8

Gallup Korea · October 13-15, 2026

42% since Aug 25-27 ↓ 39% across 6 readings

RULING Democratic	OPPOSITION People Power	INDEPENDENTS
36%	27%	29%

Gallup Korea Spotlight October 13-15, 2026

Presidential approval — October wave: President Lee Jae-myung's approval rose two points to 39% in Gallup Korea's October 13-15 poll; Democratic Party support edged up to 36% and the People Power Party to 27%, while independents fell to 29%.

THE WIRE

NK-RUSSIA-CHINA

동아일보

Belarus — a key Russian ally — opens Pyongyang embassy, pledging 'mutually beneficial' ties

Dong-A Ilbo reports that Belarus FM Ryzhenkov visited Pyongyang in August to meet Choe Son Hui, and that the embassy mandate will focus on deepening bilateral economic and political cooperation with Pyongyang.

DPRK

YONHAP ENGLISH

Bucheon factory fire likely caused by oil vapor ignited by frictional heat: officials

Fire investigators determined the Oct 16 Bucheon factory blaze that killed firefighter Kim Jin-seok was likely triggered by oil vapor meeting a frictional ignition source; a 33-person police task force has been assembled for the investigation.

TECHNOLOGY

YONHAP ENGLISH

Deepfake sex crime videos pending review already exceed full-year 2025 figure after eight months

Yonhap reports the volume of deepfake sex crime content submitted for review has surpassed last year's total figure within eight months of 2026, intensifying legislative pressure on the National Assembly to tighten digital sex crime statutes.

ANALYSIS

OFFICIALS ON X

Lee Jae-myung @Jaemyung_Lee

“고인의 희생을 잊지 않겠습니다. ['I will not forget the sacrifice of the deceased.'] The government will thoroughly review firefighter safety measures and work to ensure treatment and welfare befitting the dedication of those who protect citizens' lives.”

Context: Posted by the presidential account ahead of Lee's in-person condolence visit Saturday evening; Lee also separately praised the 107th National Sports Festival opening in Jeju.

View on X →

Direct posts by tracked official accounts, attributed as posted. Not independently verified beyond the post.

LJ

Lee Jae-myung
ROK President

“당신께서 지켜주신 안전한 일상 속에서 국민들은 님의 희생을 영원히 기억할 것입니다. ['In the safe daily lives you protected, the people will forever remember your sacrifice.']”

Analyst: Written in the condolence book at firefighter Kim Jin-seok's funeral Saturday; Lee also posthumously awarded the Okjo Geunjeong Medal and pledged a review of firefighter safety protocols.

Source →

CM

Kim Min-seok
Democratic Party Chairman

“당 소속 도지사의 발언으로 상처를 받으신 소방관 여러분과 국민 여러분께 당을 대신해서 깊은 사과의 말씀을 드린다. ['On behalf of the party, I extend a deep apology to the firefighters and citizens who were hurt by the remarks of our party's provincial governor.']”

Analyst: DP Chairman Kim Min-seok apologized Saturday for Gyeonggi Governor Choo Mi-ae's 'fiscal straw' comment about the fire service, made at an Oct 13 parliamentary audit; Choo also apologized in person at the funeral home, but her phrasing — 'since you want an apology, I apologize' — drew fresh PPP criticism.

Source →

COMMENTARY

FOREIGN AFFAIRS

The Axis of Upheaval Goes to War

Former NSC officials Kendall-Taylor and Fontaine argue the four members of the 'axis of upheaval' have moved from rhetorical solidarity to operational coordination — sharing weapons, technology, and diplomatic cover — while US alliance management under the current administration is weakening the counter-network. The North Korea dimension encompasses arms transfers to Russia, nuclear and missile technology sharing, and DPRK diplomatic normalization within the axis.

STIMSON CENTER

Where's the Ship? Lessons from the First Set of South Korean Strategic Investment for Maritime Industrial Cooperation

Stimson Center analysis examines the first wave of ROK-US maritime industrial cooperation investments — including Hanwha Ocean at Philly Shipyard and HD Hyundai at Cerberus Maritime — and identifies structural bottlenecks: workforce shortfalls at US yards, regulatory and union constraints on technology transfer, and the absence of a formal MOU between the Strategic Investment Corporation and specific US naval industrial base entities.

SATELLITE & LOCATION WATCH

4 of 11 sites at elevated or alert status

38 NORTH / CNN / NYT / BBC / FT / NIKKEI · OCT 15-17 — NEW YALU RIVER BRIDGE OPENS; 38 NORTH DMZ VERIFICATION ANALYSIS

New Yalu River Bridge confirmed open to traffic after 12-year delay; 38 North flags DMZ verification gap

The New Yalu River Bridge between Sinuiju and Dandong officially opened to traffic — confirmed by KCNA ceremony reporting and independently by CNN, NYT, BBC, and FT — more than a decade after construction was completed. Trucks have been observed crossing in both directions. Separately, 38 North published analysis identifying a structural verification problem in the Korean DMZ with implications for any future inter-Korean arms control or confidence-building arrangement.

→ Sinuiju–Dandong (NK-China border)

CNN ↗ · NYT ↗ · BBC ↗ · FT ↗ · 38 North — DMZ Verification ↗

ELEVATED ▲

Yongbyon Nuclear Complex

Thermal satellite imagery (Daily NK, Oct 13, 2026) confirms Yongbyon reactors running nonstop. NK News satellite imagery confirms continued expansion of the uranium enrichment facility; construction of a new annex to the original uranium enrichment building began mid-September 2026. IAEA confirmed (Sep 9-10,

ACTIVITY ▲

Sinpo South Shipyard

38 North satellite imagery (Oct 3, 2026) confirms several naval construction projects underway. NK News satellite imagery (Sep 25–26) confirms new warship construction begun at Chongjin Shipyard (east coast) and Nampho Shipyard (west coast) since early July — dual-coast concurrent construction. Hero Kim Kun Ok SLBM submarine

2026) a new uranium enrichment facility capable of producing material for up to four additional warheads annually. Apr 2026: Enrichment building expansion complete, new centrifuge hall operational. 5 MWe reactor and IRT-2000 both running.

imagery as of 2026-10-13

exited drydock after 2+ years of fitting-out but still not operational as of May 2025. New submarine construction begun in separate bay.

imagery as of 2026-10-03

ACTIVITY ▲

Punggye-ri Nuclear Test Site

Nov 2025: ROK DIA assessed Tunnel No. 3 is test-ready and a nuclear test can be conducted at any time upon political decision. Site maintained at high readiness since mid-2024. The Sep 9, 2016 fifth nuclear test 10-year anniversary fell earlier this month; post-anniversary period historically carries elevated test risk. CNN/Yonhap reported Sep 18 that nearly 1,400 seismic events have been detected near the site since the 2017 test.

imagery as of 2026-09-18

ALERT ▲

Sinuiju–Dandong (NK-China border)

New Yalu River Bridge officially opened to traffic Thursday, Oct 15, per Xinhua (Oct 14, 2026) — more than a decade after construction was completed. AP and Reuters confirm the opening with trucks crossing in both directions. 38 North satellite imagery (Sep 29, 2026) had shown signs of activity at customs posts on both sides. Sep 21, 2026: ROK Embassy in Beijing confirmed cargo on early crossings consisted of air-conditioning units for the customs building. FT (Oct 17) frames the bridge as part of North Korea's concurrent strategy to deepen ties with both China and Russia.

imagery as of 2026-10-17

ACTIVITY ▲

Rason SEZ

Chinese travel agents are openly promoting North Korea business trips to Rason and Pyongyang on social media, including factory and company visits, highlighting growing entry opportunities despite the ongoing ban on Chinese tourism (NK News, Oct 15, 2026). Sep 21-22, 2026: NK Pro satellite imagery analysis shows a likely Russian cargo vessel docked at Rason for the first time since May 2026 — a roughly four-month gap after near-continuous activity in 2024-2025. Nov 2025: Chinese businesspeople re-entry to Rason SEZ expanded. Coal exports through Rason at highest levels in years throughout 2025. Arms export berth also active.

imagery as of 2026-10-15

ACTIVITY ▲

Vostochny/Dunai (Russian Far East)

Jan 2026: Arms shipments slowed due to ice — one Russian vessel (likely Angara or Lady R) visited Rason, docked Jan 14 at arms export berth. Cargo routed to Vostochny. Since Sep 2023: 64 voyages by 4 vessels (Angara, Maria, Maya-1, Lady R) delivered ~15,800 containers (~4.2-5.8M munitions) from Rajin to Vostochny/Dunai. Road bridge now open Sep 8, 2026, providing first permanent road route to supplement existing rail. NK News satellite imagery (Sep 18) shows ongoing upgrades to DPRK urban warfare training facilities consistent with troops rotating back from Russia.

imagery as of 2026-09-18

5 other monitored sites: no new imagery in the last 30 days · oldest report 2025-09.

Washington, D.C.

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